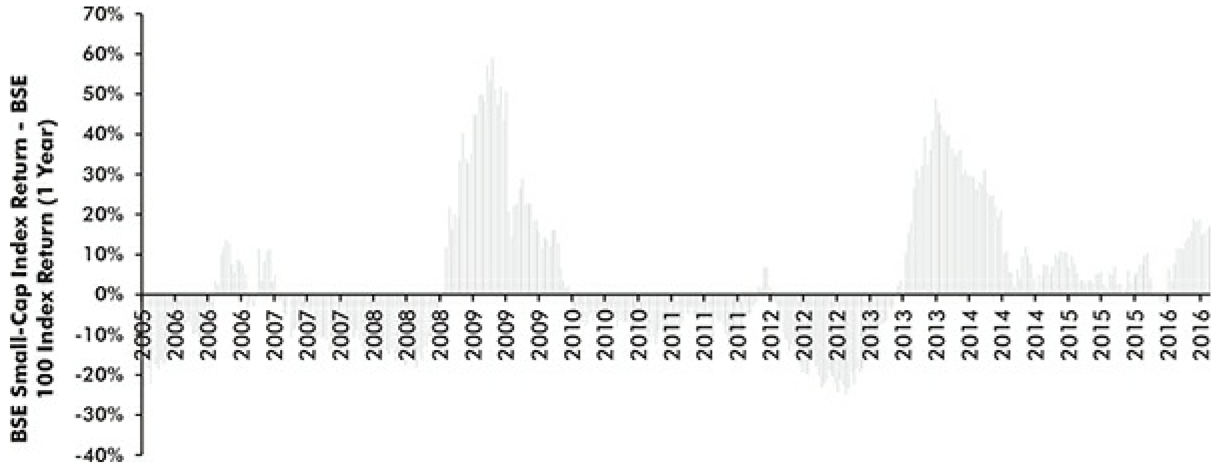
Exhibit 49: One-year rolling returns of the BSE small-cap index minus the BSE 100 (the x-axis indicates the start date of the one-year period)



Source: Bloomberg, Ambit Capital

Why should a portfolio of 'great' small-caps outperform the broader large-cap universe?

This question can be answered in two ways: smaller companies have the potential to grow their profits much faster than large companies and, secondly, as small companies grow they are 'discovered' by the stock market. That is to say, successful small-caps gradually attract more research coverage from brokerage analysts and thereafter attract more interest from institutional investors with deep pockets. Let's look at each of these two effects given their relevance in contemporary India.

Small-cap companies grow faster: Fundamentally, smaller companies' profits grow faster than large-caps, particularly in periods when credit availability is plentiful, economic growth is accelerating, and there are ample undervalued competitors (listed or unlisted) that can be acquired. When M&A take place at reasonable valuations and with the aim of taking synergy benefits, they are share price accretive. High valuations and forays into totally different business lines destroy value. Conversely, small-caps tend to underperform when these conditions are reversed.